

9-3b The National-Security Argument

When an industry is threatened with competition from other countries, opponents of free trade often argue that the industry is vital to national security. For example, if Isoland were considering free trade in steel, domestic steel companies might point out that steel is used to make guns and tanks. Free trade would allow Isoland to become dependent on foreign countries to supply steel. If a war later broke out and interrupted the foreign supply, Isoland might be unable to quickly produce enough steel and weapons to defend itself.

Economists acknowledge that protecting key industries may be appropriate when there are legitimate concerns over national security. Yet they fear that this argument may be used too readily by producers eager to gain at consumers' expense.

One should be wary of the national-security argument when it is made by representatives of industry rather than the defense establishment. Companies have an incentive to exaggerate their role in national defense to obtain protection from foreign competition. A nation's generals may see things very differently. Indeed, when the military is a consumer of an industry's output, it would benefit from imports. Cheaper steel in Isoland, for example, would allow the Isolandian military to accumulate a stockpile of weapons at lower cost.